The standing committee on finance of the Parliament had an exclusive meeting on the Saradha case to understand what caused the collapse of the group and what steps governments, both at the Centre and in the states, and financial sector regulators must take to prevent a recurrence. They summoned officials from several ministries of the government and all financial sector regulators, including myself.

As I was preparing for my deposition before the standing committee, with help from my staff, I noticed for the first time what an appallingly complex and confusing regulatory web we had created in the non-banking financial sector. There are several regulators operating in this sector—the Reserve Bank, SEBI, IRDA, the National Housing Bank, the ministry of corporate affairs of Government of India and state governments, each with compartmentalized responsibility, each with its own set of complex rules and regulations, with no one having a full picture, and with a whole lot of regulatory overlaps and gaps, thereby providing a fertile ground for illegal and fraudulent schemes to flourish. If I found it so difficult to comprehend the big picture and the small print, even with my expert staff tutoring me, how could we expect non specialists, let alone rural, semi-literate households, to understand what was legal and what was illegal, what was safe and unsafe, and what to trust and what not to trust? Whom could they turn to for advice? Whom could they turn to if they found themselves defrauded?

I had faced the parliamentary standing committees in the past as finance secretary, and several times as governor too, and in the process, developed enormous respect for the knowledge, understanding and grass-root wisdom that members of Parliament bring to bear on public policy issues through the committee process. No matter how much I prepared, I always went into these meetings with a great deal of trepidation. The meetings are invariably adversarial; the members grill you to the point of exhaustion for lapse of responsibility and dereliction of duty. To be sure, there was never anything personal in this. Typically, when the meeting breaks up and the chairman of the committee invites you to have tea with the members, the hostility just witnessed in the formal meeting instantly melts away. There were several